

SUPERIOR COURT OF CALIFORNIA, COUNTY OF ALAMEDA

Hayward Hall of Justice, Department 518

JUDICIAL OFFICER: HONORABLE DENNIS HAYASHI

Courtroom Clerk: Nancy Rose

CSR: None

22CV008125

November 16, 2022

2:30 PM

**GREEN SANDS INVESTMENT CLUB B, LLC, A
DELAWARE LIMITED LIABILITY COMPANY**

vs

**CRYPTO LOTUS FUND A, LP, A DELAWARE LIMITED
PARTNERSHIP, et al.**

MINUTES

APPEARANCES:

No Appearances

NATURE OF PROCEEDINGS: Hearing on Motion to Compel Arbitration

Matter was not contested and tentative ruling/ tentative case management order is affirmed as follows:

The Motion to Compel Arbitration filed by Jonas Lauren Norr, Crypto Lotus Fund a, LP, a Delaware Limited Partnership on 05/23/2022 is Granted.

The motion of Defendants Crypto Lotus Fund A, LP ("Crypto Lotus Fund"), a Delaware limited partnership; and Jonas Lauren Norr ("Norr") to compel Plaintiff Green Sands Investment Club B, LLC ("Green Sands Investment Club"), a Delaware limited liability company, to submit its claims against Defendants to binding arbitration with JAMS in Palo Alto, California is GRANTED.

On March 8, 2022, Plaintiff filed is second Complaint against Defendants Crypto Lotus Fund and Norr asserting the following causes of action: (1) Breach of Contract; (2) Intentional Misrepresentation; (3) Negligent Misrepresentation; (4) Fraudulent Concealment; (5) Breach of the Covenant of Good Faith and Fair Dealing; (6) Interference with Contract; (7) Breach of Fiduciary Duty; (8) Constructive Fraud; and (9) Declaratory Relief. Plaintiff previously filed a nearly identical Complaint against Defendants on October 26, 2021 asserting the same causes of action. That case was assigned Case No. 21CV001150. Neither side filed a Notice of Related Case even though the earlier action is related to this one. See Rule of Court 3.300(b). Plaintiff voluntarily dismissed Case No. 21CV001150 without prejudice on December 17, 2021. Plaintiff agreed to dismiss the earlier case and commence arbitration proceedings with JAMS in its Palo Alto office. Plaintiff decided to file this second Complaint because Defendants failed to present a settlement offer despite being asked to do so several times. The email correspondence between attorneys Oscar Jimenez and Samuel Liberman submitted by Defendants in support of their

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motion to compel arbitration, however, does not indicate that the dismissal of the Complaint and initiation of proceedings with JAMS was dependent upon Defendants' willingness to transmit a timely settlement offer.

When deciding whether Plaintiff and Defendants executed a valid agreement to have the claims asserted in Plaintiff's Complaint resolved by binding arbitration, the Court reviews their evidence to determine whether a valid agreement to arbitrate exists and whether there are reasons why the agreement is unenforceable. See *Ramos v. Westlake Services LLC* (2015) 242 Cal.App.4th 674, 685 (court must begin by determining whether plaintiff signed the agreement containing an arbitration clause); and *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842 (trial court may weigh conflicting evidence to determine whether arbitration agreement exists); and *Ramos, supra*, 242 Cal.App.4th at 685 (trial court serves as the trier of fact when reviewing the parties' conflicting evidence on a motion to compel arbitration). Defendants bear the burden of providing the existence of an agreement between Plaintiff and Defendant that includes an arbitration clause by a preponderance of the evidence. Defendants have met their burden in this case. See Rule of Court 3.1330 (party claiming that arbitration clause exists must either state the provisions verbatim or attach the agreement to the motion); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 (formal document authentication not necessary at first step of analysis); and *Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 710 (same). Defendants have shown that Plaintiff's President, Reema Khan, signed the Crypto Lotus Fund A Subscription Agreement, and that the Subscription Agreement includes language indicating that the signatory has reviewed and agreed to be bound by the terms of the Limited Partnership Agreement and Confidential Private Placement Memorandum. Paragraph 12.20 of the Limited Partnership Agreement states that the parties would resolve any claim or controversy arising out of or relating to this Agreement or the breach thereof by arbitration in Palo Alto with JAMS. The Confidential Private Placement Memorandum includes a provision at the bottom of page 8 stating that investors in Defendant Fund agreed to arbitrate any dispute arising out of their investment in the LP interests in Palo Alto. Plaintiff Green Sands has not challenged Defendants' claim that the agreements attached to the Declaration of Jonas Lauren Norr are true and correct copies of the agreements it received and reviewed before President Khan signed the Subscription Agreement. See *Fabian v. Renovate America, Inc.* (2019) 42 Cal.App.5th 1062, 1067 (plaintiff bears the burden of showing that the agreements are invalid or the signature is false); *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 (same); and *Espejo, supra*, 246 Cal.App.4th at 1060 (same).

Plaintiff's contention that the Court should not order the parties to arbitrate the claims in the Complaint because the Repayment Agreement, dated March 19, 2021, does not include an arbitration clause is without merit. The arbitration clauses were not extinguished by the execution of the Repayment Agreement. Plaintiff clearly did not intend to waive any of its claims or rights set forth in the Limited Partnership Agreement, Confidential Private Placement Memorandum and/or the Subscription Agreement. The Court refers to paragraph 4 of the Repayment Agreement. Furthermore, the Integration Clause in paragraph 13 of the Repayment Agreement states that the parties' rights and obligations under the existing agreements remain in effect. Green Sands and Crypto Lotus Fund merely intended "to formalize the satisfaction of the remaining Capital Account Balance." Crypto Lotus Fund merely agreed to act timely and

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properly in response to Plaintiff's anticipated Withdrawal Notice to be given on April 1, 2021 based on the Net Asset Value ("NAV") of the Capital Account Balance as of March 31, 2021.

Plaintiff's contention that the Court should deny the motion to compel arbitration or defer ruling on the motion because Plaintiff has asserted causes of action against Defendants not subject to arbitration is also without merit. See CCP § 1281.2(c). As an initial matter, the Court agrees with Defendants' assertion that all of Plaintiff's claims are subject to the broad arbitration provisions in the governing documents. Plaintiff's claims all relate to or arise out of its investment in Defendant Fund and Defendant's alleged failure to comply with its obligations to investors. Even if the Court agreed that some of Plaintiff's claims against Defendants are not covered by the arbitration clause, Plaintiff has not made any persuasive argument in support of its position that the Court can apply provisions of the California Arbitration Act in this case involving Delaware entities where they agree that the Court must apply Delaware law. See *Nedlloyd Lines B.V. v. Superior Court* (1992) 3 Cal.4th 459, 464-465; and *Hambrecht & Quist Venture Partners v. Am. Med. Internat., Inc.* (1995) 38 Cal.App.4th 1532, 1456.

Finally, although it agrees with Defendants' position that Plaintiff should not have filed a second Complaint after earlier conceding that it is required to submit to arbitration with JAMS in Palo Alto, the Court declines to issue an award of attorney's fees and costs in Defendants' favor based on paragraph 10 of the Repayment Agreement. Defendants should present the request for an award of attorney's fees and costs to the JAMS arbitrator.

Defendants' Request for Judicial Notice of the Complaint and Request for Dismissal filed in Case No. 21CV001150 is GRANTED.

Defendants' Objection to the Declaration of Oscar G. Jimenez

1. Overruled.
2. Overruled.
3. Overruled.
4. Overruled.
5. Overruled.

The Complaint of Plaintiff Green Sands Investment Club B, LLC against Defendants Crypto Lotus Fund A, LP and Jonas Lauren Norr is HEREBY DISMISSED WITHOUT PREJUDICE.

The Court will prepare the order and mail copies to the parties. Defendants shall promptly file and serve the notice of entry of order.

The Court orders the Complaint filed by Green Sands Investment Club B, LLC, a Delaware Limited Liability Company on 03/08/2022 dismissed without prejudice.

The following event(s) is/are advanced to this date and vacated:
11/28/2022 2:30 PM Case Management Conference in Department 518

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By:

S. Gould, Deputy Clerk

Minutes of: 11/16/2022

Entered on: 11/16/2022